

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

HAPAG-LLOYD, A.G. AND HAPAG-LLOYD (AMERICA) LLC –
POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)

DOCKET NO. 21-09

Served: December 30, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON ORANGE AVENUE EXPRESS, INC.’S MOTION TO INTERVENE

On December 9, 2021, a motion for leave to intervene (“Motion”) was received from Orange Avenue Express, Inc. (“OAE”) pursuant to 46 C.F.R. § 502.68(c)(1) and (c)(2)(i) of the Commission’s Rules of Practice and Procedure. On December 22, 2021, the Commission’s Bureau of Enforcement (“BOE”) filed a response to the motion to intervene (“BOE Response”). On December 24, 2021, Respondents Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC (collectively “Hapag-Lloyd”) filed an opposition to the motion to intervene (“HL Opposition”).

Commission Rule 68(c)(1) allows intervention of right.

The presiding officer or Commission must permit anyone to intervene who claims an interest relating to the property or transaction that is subject of the proceeding, and is so situated that disposition of the proceeding may as a practical matter impair or impede the ability of such person to protect its interest, unless existing parties adequately represent that interest.

46 C.F.R. § 502.68(c)(1).

Commission Rule 68(c)(2) allows permissive intervention.

The presiding officer or Commission may permit anyone to intervene who shows that a common issue of law or fact exists between such person’s interest and the subject matter of the proceeding; that intervention would not unduly delay or broaden the scope of the proceeding, prejudice the adjudication of the rights, or be duplicative of the positions of any existing party; and that such person’s participation may reasonably be expected to assist in the development of a sound record.

46 C.F.R. § 502.68(c)(2)(i).

OAE filed a complaint in Docket No. 21-10 alleging that Hapag-Lloyd violated sections 41102(c), 41104(a)(3), and 41104(a)(8) regarding the return of empty reefer containers. 21-10 Complaint at 2, 4. OAE seeks to intervene in this proceeding, where BOE is investigating

whether Hapag-Lloyd “may be in violation of 46 U.S.C. § 41102(c) with respect to charges relating to container returns.” 21-09 Order of Investigation and Hearing at 3. OAE asserts that there are overlapping claims made against Hapag-Lloyd and similar factual allegations in both proceedings. Motion at 2. OAE further asserts that its intervention “will assist the BOE in demonstrating that Hapag-Lloyd’s conduct is not limited to the 11 containers which are mentioned in Exhibit A to the Notice of Investigation, but rather is part of wide-spread practices and conduct by Hapag-Lloyd in the ports of Los Angeles and Long Beach.” Motion at 2.

BOE supports the motion to intervene, asserting that OAE alleges similar violations of law; intervention may assist in determining that actions are a normal, customary, and continuous pattern of behavior; and intervention would contribute additional evidence of the violations alleged. BOE Response at 1-2.

Hapag-Lloyd opposes intervention, asserting that OAE does not meet the criteria for intervention as a matter of right or for permissive intervention, arguing that intervention would unduly broaden and delay this proceeding; would duplicate BOE’s position; would not assist in the establishment of a sound record; and that allegations of common issues of law or fact are overstated. HL Opposition at 1-6.

OAE has not demonstrated that it is entitled to intervention as a matter of right, pursuant to Rule 68(c)(1), because OAE has not established that its ability to protect its interest will be impeded. Although the Order of Investigation and Hearing in this proceeding provides only limited details, it does not appear that any OAE shipments are referenced. In addition, OAE will have the opportunity to pursue its claims in Docket No. 21-10, regardless of the outcome of this proceeding.

An entity seeking permissive intervention must demonstrate that common issues of law or fact exist between the entity’s interest and the subject matter of the proceeding; that intervention would not unduly delay or broaden the scope of the proceeding, prejudice the adjudication of rights, or be duplicative of the positions of any existing party; and that such entity’s participation may reasonably be expected to assist in the development of a sound record. 46 C.F.R. § 502.68(c)(2)(i).

Hapag-Lloyd makes a persuasive argument that common issues of law or fact are overstated. Hapag-Lloyd asserts that the “two cases involve different types of equipment (dry vs. reefer) and different rules governing the use and return of the equipment.” HL Opposition at 6. BOE’s complaint identifies 11 shipments at issue during the spring and summer of 2021, while the complaint in Docket 21-10 identifies well over 100 shipments at issue during the summer and fall of 2021. Although both dockets allege a violation of section 41102(c), Docket 20-10 also alleges violations of sections 41104(a)(3) and (8). In addition, this proceeding is an expedited enforcement action seeking civil penalties and a cease and desist order, while Docket 21-10 is a private party proceeding primarily seeking reparations. Thus, there are significant factual and legal differences between the cases. This factor weighs against allowing intervention.

Hapag-Lloyd argues that “OAE should not be permitted to convert this narrowly focused proceeding into a broader investigation when the Commission itself has not done so,” that if “OAE is permitted to intervene and engage in discovery, then Hapag-Lloyd will necessarily have

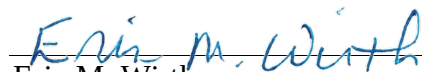
to seek discovery with respect to OAE's claims of damages," and that "permitting intervention on this basis establishes a dangerous precedent for future enforcement cases and could raise serious due process issues." HL Opposition at 3-4, 4 n.2. BOE acknowledges that "intervention may broaden the scope by including additional evidence of the practice at issue." BOE Response at 2.

Intervention under these circumstances may unduly delay or broaden the scope of the proceeding, prejudice the adjudication of rights, and be duplicative of the positions of an existing party. Discovery, which needs to be conducted on an expedited basis, would be significantly increased if OAE's shipments were included, which could prejudice Hapag-Lloyd. Moreover, it appears that to the extent that the issues overlap, OAE's position would be duplicative of BOE's position. This factor also weighs against allowing intervention.

OAE asserts that its "participation in this matter would allow the development of a sound and complete record to establish the unlawful practices and procedures of Hapag-Lloyd" and BOE contends that OAE's intervention would assist in determining a key element of a section 41102(c) claim, whether the actions are occurring on a normal, customary, and continuous basis. Motion at 3; BOE Response at 2. Hapag-Lloyd argues that intervention "would complicate the establishment of a sound record" by broadening the scope, delaying completion, and introducing differing facts or considerations. HL Opposition at 5.

OAE's participation may reasonably be expected to assist in the development of a sound record, however, that participation would also broaden the scope, delay completion, and introduce differing facts and considerations. It appears that in this proceeding, the Commission sought to focus on a limited number of transactions in a specific geographic location and timeframe, so that an expedited decision could be reached. While including OAE's allegations would provide a broader record, it would not be reasonable to expect Hapag-Lloyd to defend against a substantially expanded proceeding in such a limited timeframe. Therefore, this factor weighs both for and against intervention.

When all of the factors are weighted together, and given the unique posture of this proceeding, intervention will not be permitted. Accordingly, it is hereby **ORDERED** that OAE's motion to intervene be **DENIED**. All parties are reminded to review the requirements in the initial order, including that filings include page numbers.


Erin M. Wirth
Chief Administrative Law Judge